

the value chain are clearly seen. The game characters, owned by Snood LLC (stage 1), were licensed by a publisher (stage 3) and made into a game by an application developer (stage 2). The game was stored on a content platform (stage 4) and then sent over a wireless network (stage 6) to Jen's handset (stage 7). Billing for content was handled by a company or corporate division (stage 8).

Technology and Strategy Issues in Mobile Entertainment

In an industry as young, complex and dynamic as mobile entertainment, there are dozens of factors that will influence the way that the industry develops. Many factors interrelate, and there are some that cannot be known at this time. There are eight factors, however—four technological and four strategic—that we believe will be the predominant drivers for the future of the mobile entertainment industry. By examining each of these eight drivers in turn, some of the most important determinants for the resulting industry scenarios can be laid bare.

Technology Drivers in Mobile Entertainment

Digital Rights Management (DRM): The issue of DRM affects all stages of the mobile entertainment value chain. Without the intellectual property protection that an acceptable DRM solution will provide, companies that can license content for mobile entertainment will be reluctant to do so. DRM solutions can also provide new and interesting revenue models for the emerging mobile entertainment industry (e.g. “super-distribution”). Four general types of DRM protection mechanisms have been developed with different levels of security. As the strength of content protection grows, the value of content available to the mobile entertainment industry will increase.

2. Platform Technology: As the number and variety of mobile devices grows, the desire of application developers for a unifying platform increases. Rather than developing one application for each device and operating system, a widely deployed platform would enable developers to create a single application to be used on a variety of devices. Current mobile entertainment platforms include Sun's J2ME, Qualcomm's BREW, Symbian's Series 60 and Microsoft's